8. TAXES BASED ON INCOME

The provision for taxes based on income consists of:

	2000	1999	1998
Federal			
Current	$ 338	$ 123	$ 382
Deferred	213	308	(49)
	551	431	333
State and local	77	48	52
	628	479	385
Tax benefit from extraordinary loss	(2)	(6)	(162)
	$ 626	$ 473	$ 223

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS, CONTINUED

A reconciliation of the statutory federal rate and the effective rate follows:

	2000	1999	1998
Statutory rate	35.0%	35.0%	35.0%
State income taxes, net of federal tax benefit	3.3	2.8	3.8
Non-deductible goodwill	3.9	2.7	3.2
Other, net	(0.6)	3.0	1.3
	41.6%	43.5%	43.3%

The tax effects of significant temporary differences that comprise deferred tax balances were as follows:

	2000	1999
Current deferred tax assets:		
Insurance related costs	$ 82	$ 68
Net operating loss carryforwards	47	176
Other	83	12
Total current deferred tax assets	212	256
Current deferred tax liabilities:		
Compensation related costs	(47)	(38)
Inventory related costs	(79)	(54)
Total current deferred tax liabilities	(126)	(92)
Current deferred taxes, net included in prepaid and other current assets	$ 86	$ 164
Long-term deferred tax assets:		
Compensation related costs	$ 142	$ 148
Insurance related costs	57	86
Lease accounting	39	60
Net operating loss carryforwards	158	178
Other	26	40
	422	512
Valuation allowance	(152)	(157)
Long-term deferred tax assets, net	270	355
Long-term deferred tax liabilities:		

Depreciation	(519)	(457)
Total long-term deferred tax liabilities	(519)	(457)
Long-term deferred taxes, net	$(249)	$(102)

Long-term deferred taxes, net are included in other liabilities at February 3, 2001 and January 29, 2000.

At February 3, 2001, the Company had net operating loss carryforwards for federal income tax purposes of $551 which expire from 2004 through 2017. In addition, the Company had net operating loss carryforwards for state income tax purposes of $180 which expire from 2001 through 2020. The utilization of certain of the Company's net operating loss carryforwards may be limited in a given year.

At February 3, 2001, the Company had federal and state Alternative Minimum Tax Credit carryforwards of $9 and $3, respectively. In addition, the Company has Other Federal and State credit carry forwards of $3 and $20, respectively, which expire from 2001 through 2017. The utilization of certain of the Company's credits may be limited in a given year.